ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 02 - MARKET MAKER TRAP FALSE FLAG

Welcome to lesson seven of eight of the second month of the mentorship. This lesson specifically deals with the Market Maker Trap of False Flags.

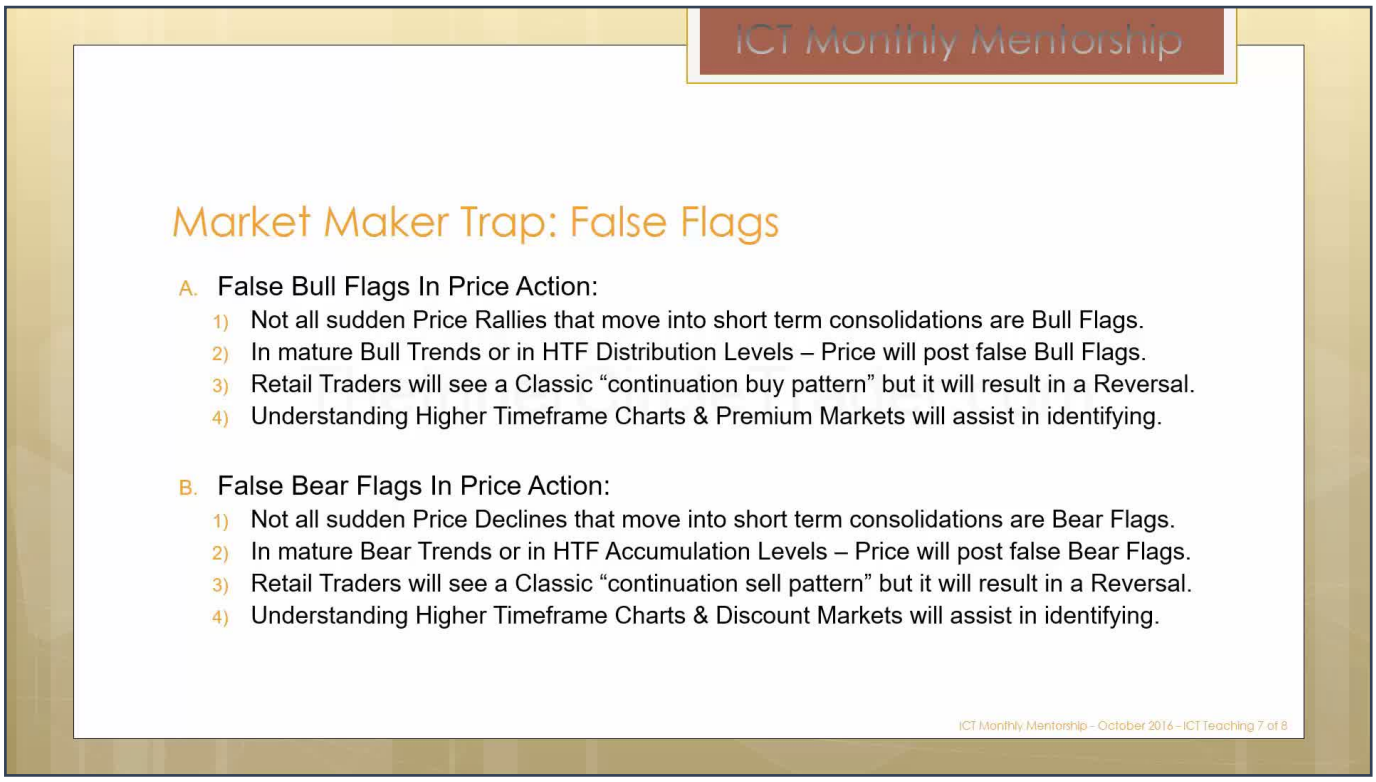
A false flag is a pattern that classic chartists and pure chart pattern traders often fall victim to. As a new trader, I also fell victim to this pattern frequently. My introduction to technical analysis, particularly in the commodities market, was through materials that emphasized continuation patterns like the bull flag.

Not all sudden price rallies that move into a short-term consolidation are true bull flags. In a mature bull trend or in higher time frame distribution levels, price will often post or print a false bull flag on charts.

Retail traders, myself included when I started, would see this as a classic continuation buy pattern. However, many times it resulted in a reversal. Understanding higher time frame charts and identifying a premium market assists in discerning potentially bearish bull flags, which do not lead to an expected higher leg or traditional AB=CD measured move.

Price does not move based on patterns alone, whether they are ICT concepts like order blocks, mitigation blocks, or breakers, or classic chart patterns like head and shoulders or bull flags.

Conversely, in a strong bearish trend, a continuation pattern (bear flag) typically shows a sudden move lower, a small consolidation, and then another equal leg lower. However, not all sudden price declines moving into short-term consolidation are true bear flags. In mature bear trends or higher time frame accumulation levels, price will post false bear flags.



Retail traders will often interpret false bear flags as classic continuation sell patterns, but they frequently lead to a reversal. The key takeaway is that understanding higher time frame charts and identifying discount markets assists in identifying when these are potentially false bear flags, indicating not to expect another leg lower but in fact a buy opportunity.

GRAPHICAL DEPICTION OF A CLASSIC BULL FLAG

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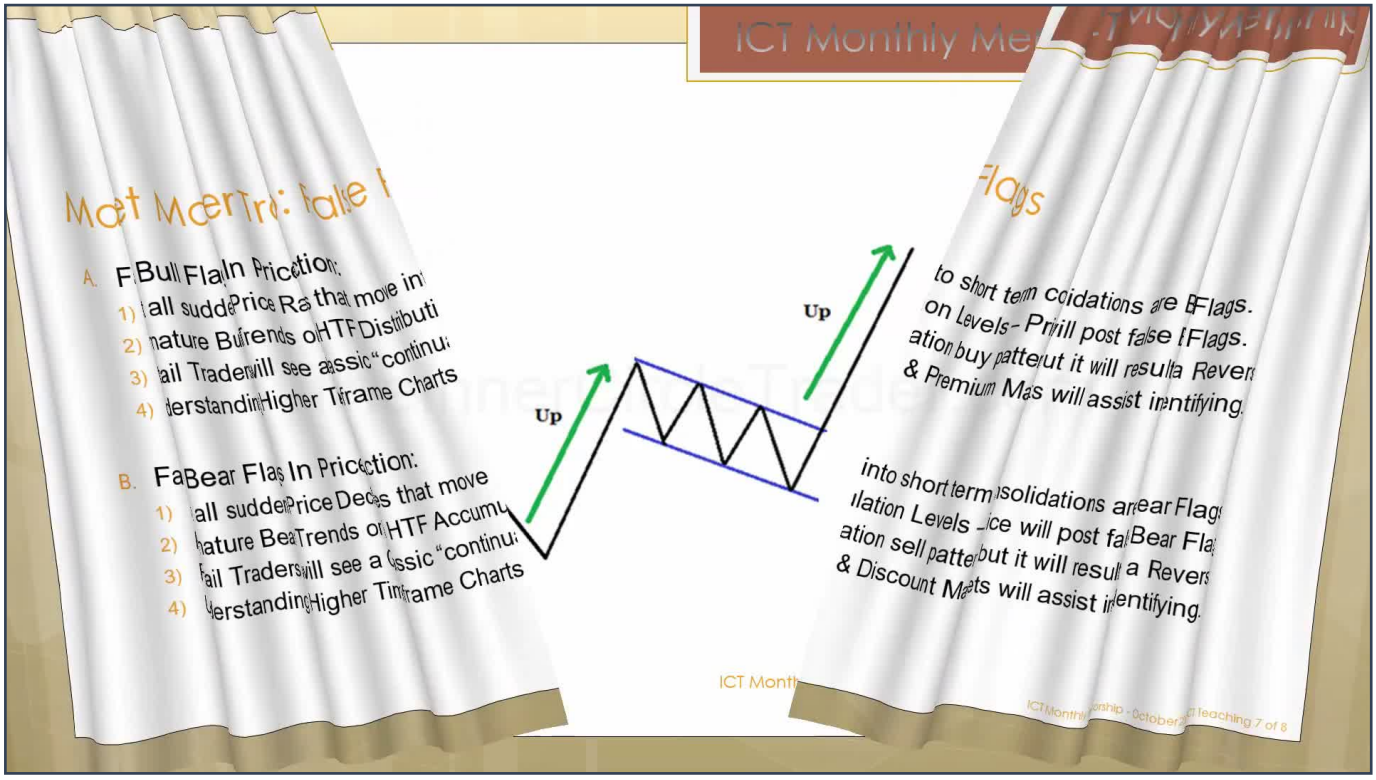

For those unfamiliar with bull flags, this is a basic graphic depiction:

- Generally, you'll see a price leg up, forming the 'flagpole'.

- Then, a small consolidation occurs. This consolidation can be sideways or slightly slanted lower, forming the 'flag' portion.

- Subsequently, there will be another impulse swing higher, ideally equal in length to the first impulse swing, creating a 'measured move'.

When I first started, many successful grain, live cattle, and live hog trades were based on this simple pattern, especially when combined with one-hour stochastic divergence. The problem was not considering higher time frame charts or understanding premium/discount markets.

GRAPHICAL DEPICTION OF A CLASSIC BEAR FLAG

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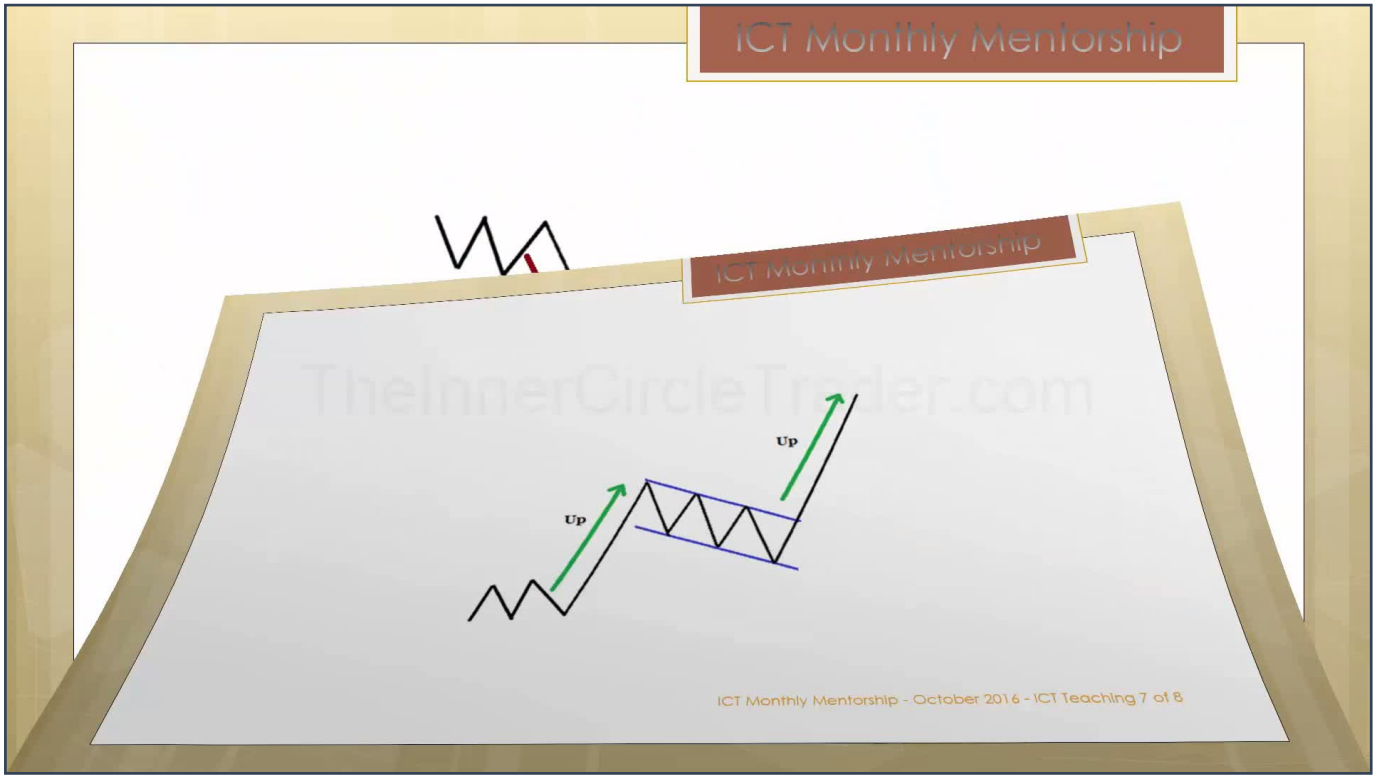


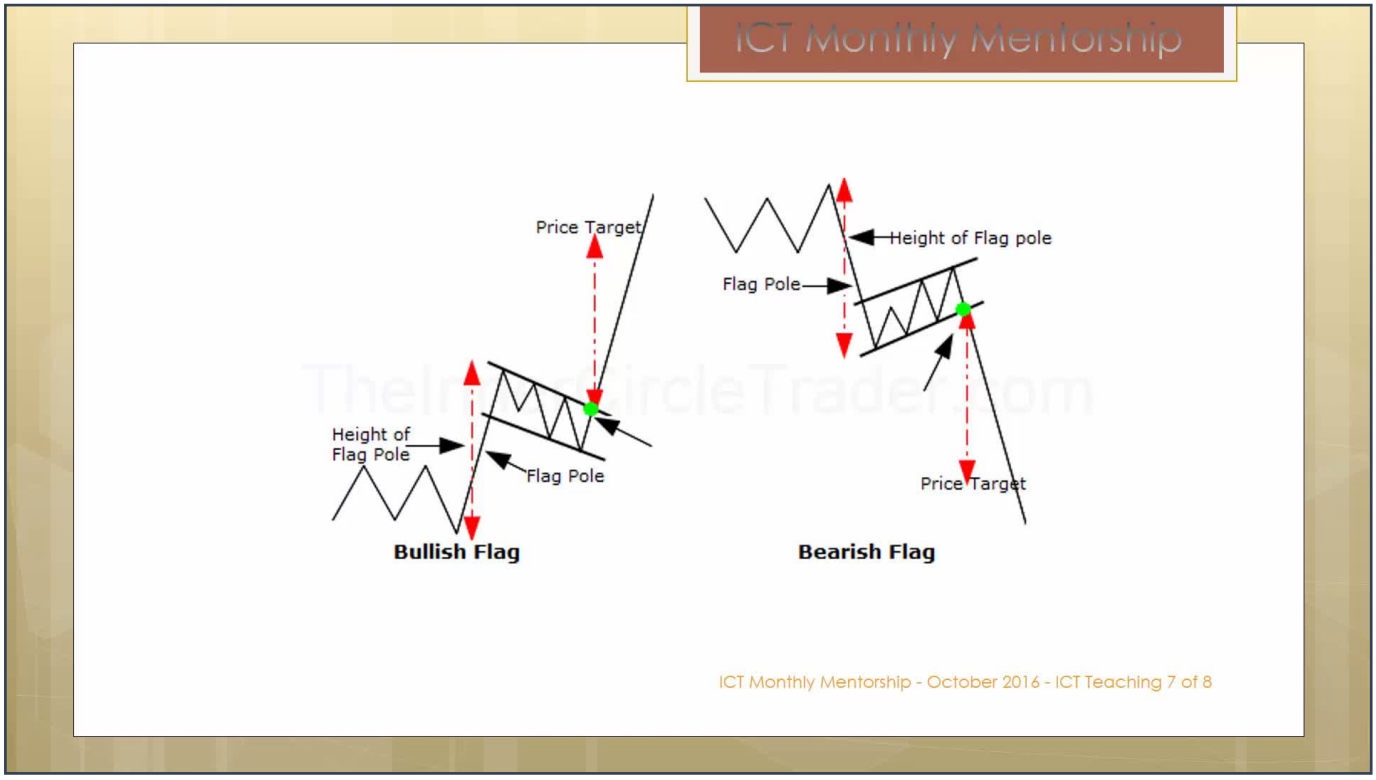
The same principles apply in reverse for bear flags:

- A market drops off with a sudden decline, forming the 'flagpole'.

- This is followed by a consolidation, either sideways or sloping diagonally upwards, forming the 'flag'.

- Then, another leg lower is expected, equal to the first price swing lower. This measured move, subtracted from the breakout high of the consolidation, gives a projected low.

This pattern is consistent in strong, immature trends. However, when the trend is mature or in accumulation areas (where smart money is aggressively buying), these patterns materialize near the low. Many traders will see it as a continuation, expecting new lows, but often it reverses abruptly and moves higher.



While these continuation patterns are general knowledge, the goal is not to teach them. The objective is to teach how markets can present these false patterns, and how we can take advantage of them.

Here's an example: A classic setup where the market moves aggressively higher, followed by a small consolidation. This is immediately recognized as a bull flag, leading to the expectation of measuring the flagpole and adding it to the consolidation for a projected higher price. We would anticipate higher prices based on this classic pattern.

The problem arises when we focus only on one time frame. A top-down analysis using higher time frame charts (monthly, weekly, daily, or at least a four-hour, but preferably a daily chart) is crucial. These higher time frames provide additional information that needs to be considered.

In my early trading career, if someone showed me this chart, I would have confidently expected the market to go higher based solely on the bull flag pattern. During that period, I only understood buying in bull markets and did not grasp the concept of selling short. This led to many reversals against my initial bull flag expectations.

In this specific example, the bull flag pattern was misleading. It did not lead to higher advancement; instead, it only briefly breached a previous consolidation area before reversing. This resulted in a significant breakdown.

What caused this market to break down instead of continuing with its expected measured move higher? We need to look closer at the underlying dynamics that led to this overall price reversal.

ANALYZING THE FALSE BULL FLAG - DAILY CHART PERSPECTIVE

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Let's take a closer look at this particular false flag. While price initially showed a clear, classic bullish flag pattern, it ultimately broke down. The question is, why did it not continue with its equal leg measured move higher?

- Focus on the bodies of the candles and the overall price action first, momentarily ignoring the wicks. We observe a price swing from a high, down, and then a retracement up. As price rallied into the blue shaded area (our 15-minute false flag), on the daily chart, it was inside a large up candle, which acts as a bearish order block.

If we draw a Fibonacci retracement from the high of that price swing down to the low (right before the swing up), we can clearly see that the market is in an area of distribution.

This means we are in a premium market relative to the range defined by that old high and old low. This higher time frame context of being in a premium market, where distribution should occur, is critical for understanding why the bull flag would fail.

MULTI-TIMEFRAME REFINEMENT: FROM DAILY TO 4-HOUR

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Now that we understand the higher time frame context (daily chart showing a premium market and bearish order block), we drop down to a four-hour chart to refine our analysis.

- Focusing on the down move within this premium area, we observe a rally up creating a liquidity void, followed by another liquidity void going down. Midway through this, we find what would be viewed as a bearish order block. Since we are in a premium market where distribution is expected, these two areas of liquidity voids, coupled with the overall range, signify a larger bearish order block, looking at its mean threshold.

REFINING ENTRY ON LOWER TIMEFRAMES (15-MIN & 5-MIN)

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Dropping down further, we examine the one-hour chart and then refine on the 15-minute time frame. We see a gap between the opening of one candle and the close of another. Zooming into a five-minute chart allows for further refinement.

- Here, we see one or two up candles prior to the significant down move. These up candles trade right back up into the institutional order flow, filling a liquidity void from a prior gap down. The market offered bullish prices, then gapped down, only to offer it one more time higher to be sold, filling that range. The equilibrium of these last up candles' bodies marks a significant level.

With that key level identified, and noting a slight fair value gap, we observe price creating this potential bull flag. It starts to move up, but what it's truly doing is clearing out the bodies of the candles from a previous consolidation, ignoring the wick from the 15-minute timeframe.

When price then starts to break down, we revisit the price action. The up candles, with their bodies and wicks on the low end, reveal where the sensitivity for selling short will be. In areas of heavy distribution, a quick rally up followed by consolidation (or slight drop) that looks like a bull flag is not a bullish scenario. Instead, we anticipate a false move designed to break lower.

EXECUTING THE TRADE: THE TURTLE SOUP SCENARIO

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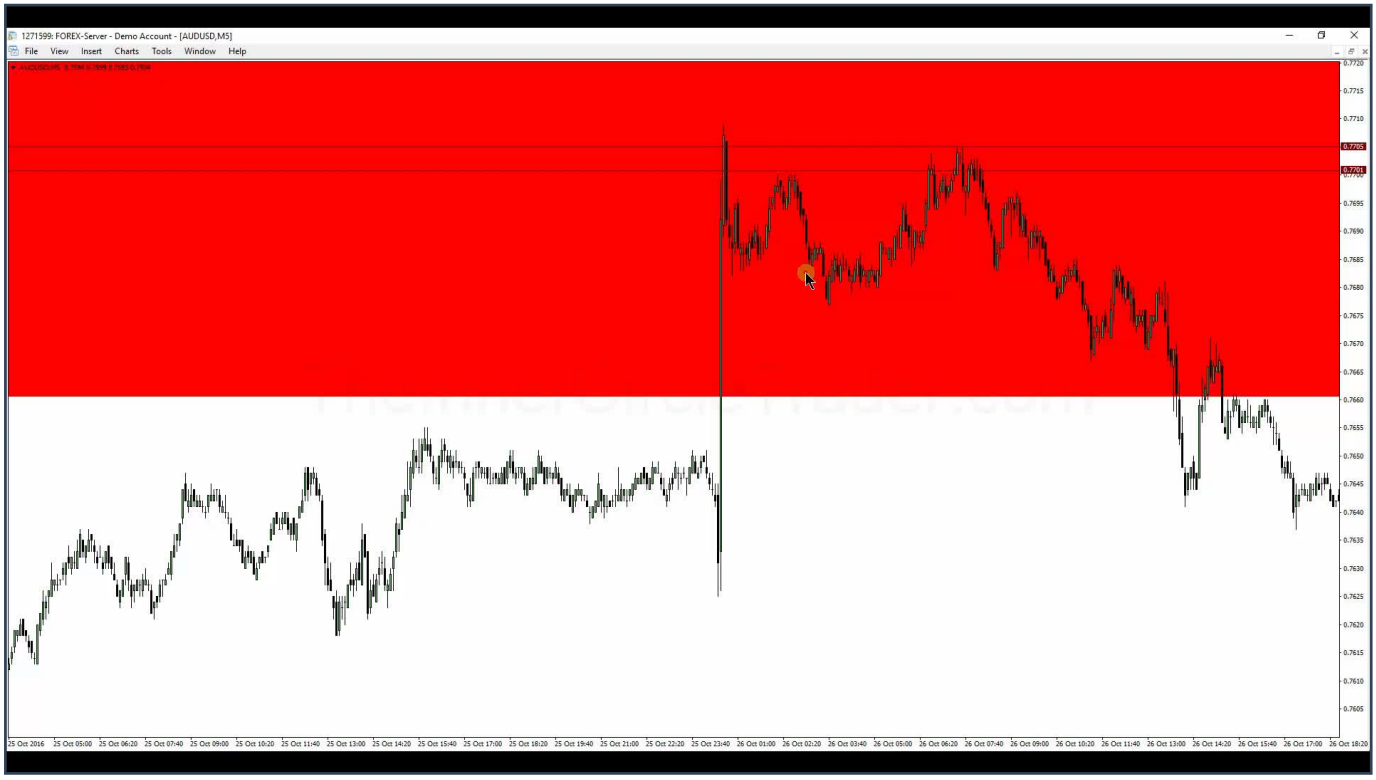


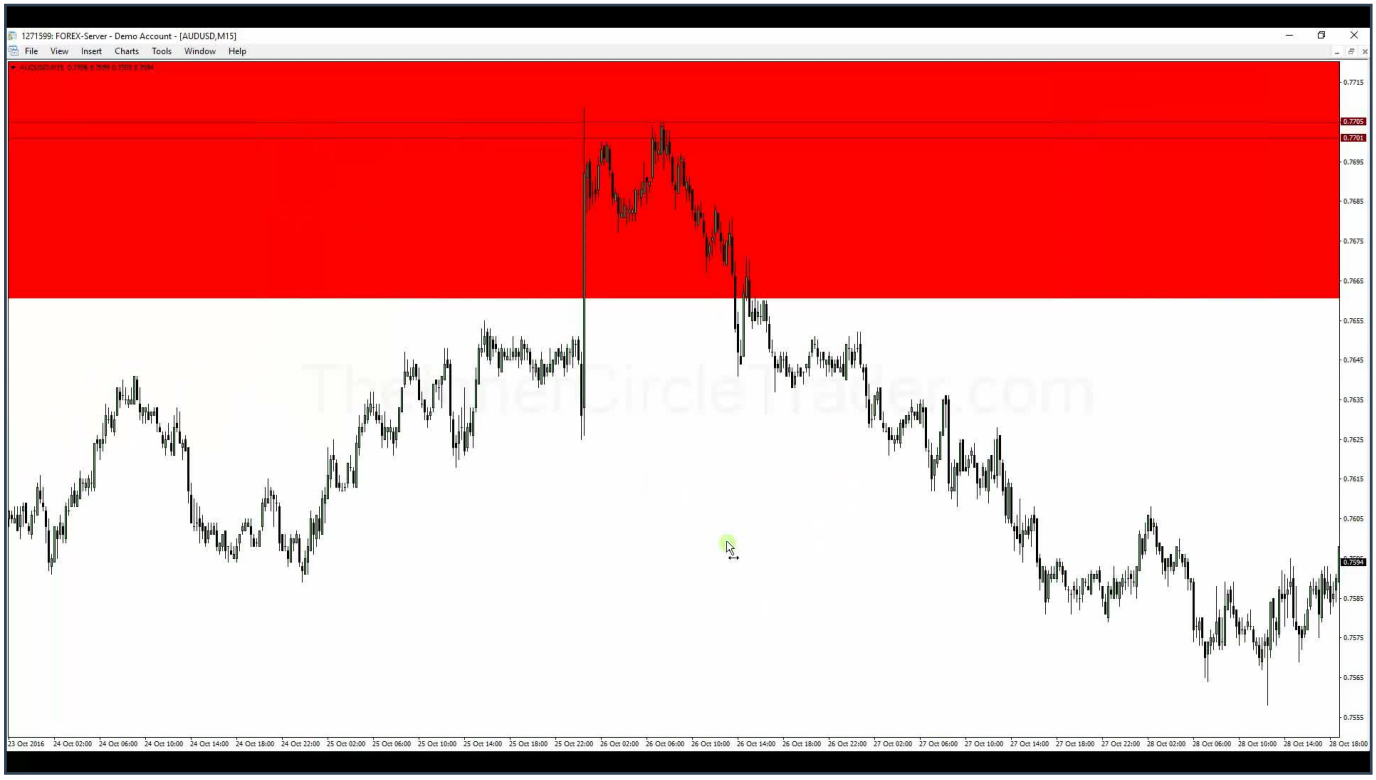
Two scenarios can occur:

- Turtle Soup Scenario: The market will come up, getting traders tripped up thinking it will go higher, then it rolls over. This is the easiest to trade.

- Once the market rolls over, you want to sell the first return back to a bearish order block. For instance, if the opening and high of a specific candle (e.g., 76.97) align, that's your short entry.

- Place your stop loss above what would be considered the bull flag's high (that wick). This typically results in a small risk in terms of pips.

- Your first objective would be to close the liquidity void created by the false flag. On a 15-minute timeframe, you can see the last up candle before the move lower, with its opening and high often aligning at a specific price (e.g., 76.97). Price then breaks down, closes the void, hits the bearish order block, and initiates a sell-off.



This strategy demonstrates how a top-down breakdown of the market, by defining it in terms of discount or premium and understanding higher time frame institutional order flow, allows us to execute trades on lower time frames.

- We utilize the premise that other traders will perceive a situation as bullish (a sentiment play) while combining it with higher time frame institutional order flow. This enables us to anticipate the false move. When the market starts to break down against the retail expectation, we can confidently sell it short at that moment. Price then moves aggressively, closing its initial void, and often trades up one more time to close a smaller liquidity void before moving significantly lower.

INTRODUCTION TO FALSE BEAR FLAG EXAMPLE

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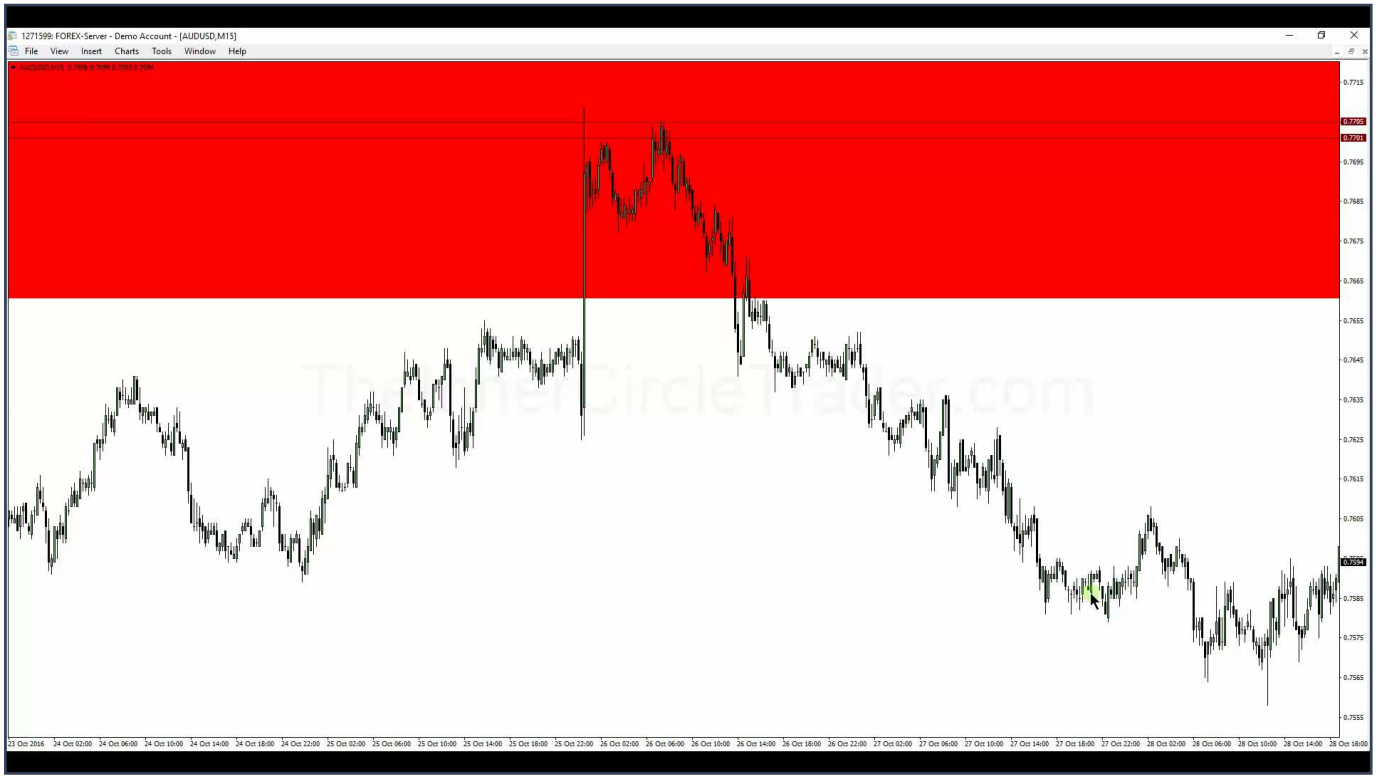
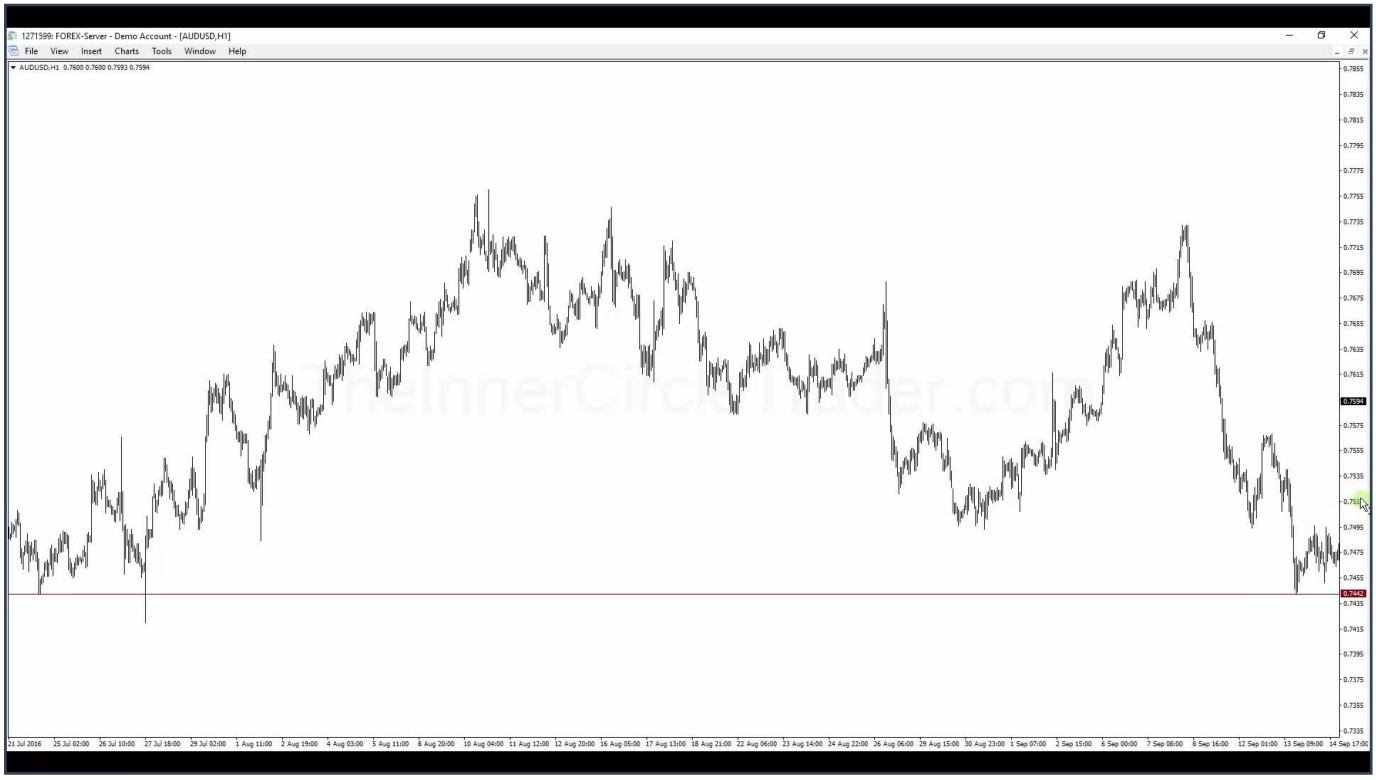


Now, let's examine an example of a bear flag that turns out to be a false flag, leading to higher prices. We have a scenario where price experiences a sudden decline within an existing downtrend.

- Price then moves into a small consolidation that slopes higher. By all common interpretations, this would be deemed a classic bear flag pattern, signaling continuation. One would reasonably expect a measured move lower from the high of the flag, projecting prices to, for example, 73.55, based purely on classic chart patterns.



However, the market traded down into 74.42, which is a significant level. By having our higher time frame perspective, we highlight the area where the pseudo bear flag occurs. Suddenly, that bear flag doesn't look so bearish.

- Let's examine the daily chart. In the area where the bear flag appeared on the one-hour chart, we look at the bodies of the candles. All the heaviest volume is typically found within the wicks of these candles trading down. We focus on the price action below the lows of the bodies of these candles, ignoring the wicks.

IDENTIFYING ACCUMULATION AND RUNNING STOPS BELOW BODIES

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The expectation is that this movement, where the market is coming back down into this area for the first time in months, is primarily making a run for the stops located below the bodies of these candles, not the wicks. We ignore the wicks in this context, knowing the bulk of the volume is in the bodies.

- When we observe this on a daily chart, we must consider it when returning to the hourly chart. Therefore, when the market starts creating that pseudo bear flag, we don't view it as a bearish signal. Instead, we begin looking for reasons to expect higher prices, rather than simply buying blindly as the market rallies.

EXECUTING THE FALSE BEAR FLAG TRADE

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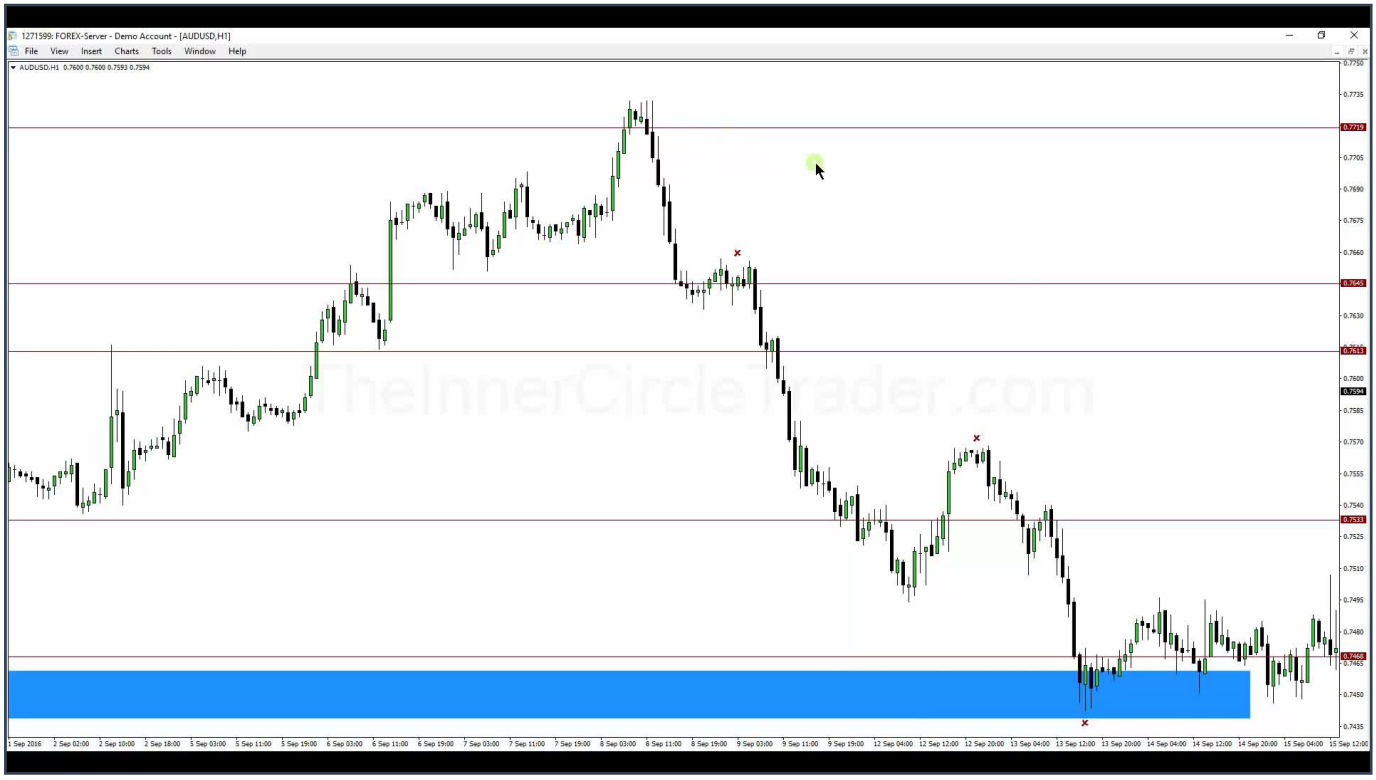
To execute the false bear flag trade:

- Wait for a swing high to be created and then violated on the upside. We observe a swing high here; the market trades up through it, then comes back down to the last bearish candle. This reversal indicates a buying opportunity, not a continuation of the bear flag.

- We can be a buyer at this point (e.g., 74.70), placing a stop loss below the flag's low. This provides a clear risk-defined entry.

- The expectation for upside objectives would be a range fill-in of all the down candles, looking for the last up candle's body, and then the stops above equal highs (liquidity pools), and potentially higher bearish order blocks.



Price responds handsomely off that identified level. It may retrace slightly to populate more buying before continuing its rally.

- Price comes up and sweeps out the equal highs (e.g., 75.68 and 75.73), clearing out those stops. This often causes a temporary rejection. Ultimately, price rallies further to close a range, then blows through its high, targeting the next liquidity pool.

- It trades through that, consolidates briefly, then runs up into and sweeps through a bearish order block, and finally clears out old highs. The focus is not on classic chart patterns themselves, especially when looking for continuation, but on how these patterns can be false signals.

ANOTHER FALSE BEAR FLAG EXAMPLE AND KEY TAKEAWAY

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Here's another example: Price trades down, creates a small consolidation slightly higher, which would be viewed as a bear flag. However, we wait for a swing high to be violated.

- Even if it initially creates a lower low, suggesting continuation, the market abruptly puts on the brakes and goes higher. With the swing high violated, we identify the last down candle. Drawing that out in time, that's your buy entry, and it should run up higher.

My key takeaway for you is this: When analyzing price action, I look for reasons why other traders will view the opposite side of the marketplace. I'm not solely looking for what makes me take a trade; I'm also looking for how retail-minded traders will interpret things based on classic chart patterns and indicators.

What actually happens with false flags is that after a rapid price delivery (rallying up or moving down for a period), the market goes into a consolidation phase. This is where IPDA (Interbank Price Delivery Algorithm) pauses.

- If we get a big run-up and it starts consolidating, potentially going slightly lower in a diagonal pattern (like a classic bull flag), what's actually happening is that price was rallied to make traders think it will continue higher. Then, it pauses. Many times, the market will just make a slightly short-term higher high and then collapse. This is the basis of a 'Turtle Soup' sell scenario.

FALSE BEAR FLAG AND TURTLE SOUP BUY SCENARIO

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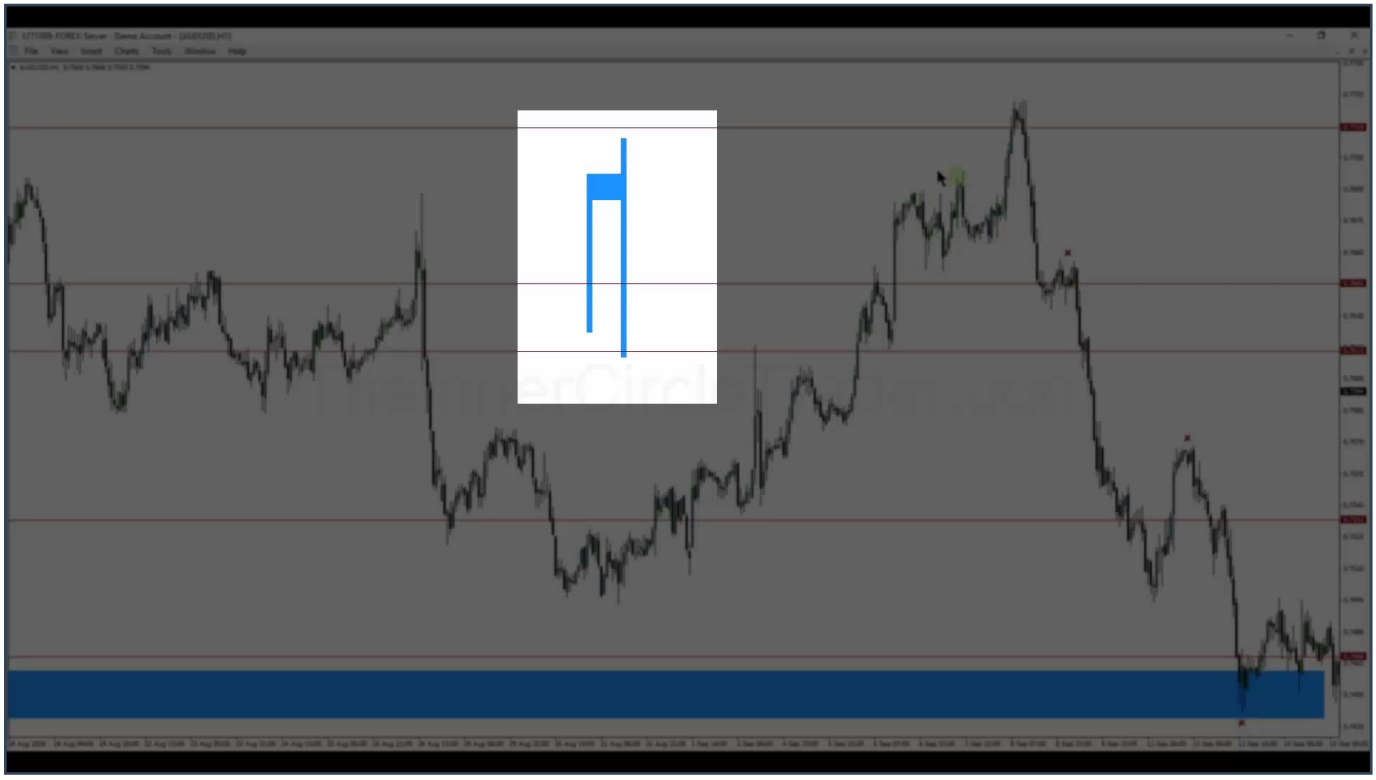

Conversely, for a false bear flag: Price drops down, consolidates, then drops slightly lower. This pattern would be a decline, consolidation, then an initial leg lower, just a little bit, short-term, violating previous lows.

- When we see this, it looks like the bear flag has been validated for a projected measured move lower. But in fact, all it's doing is taking out the short-term lows and then reversing, running the other way. This is the basis of a 'Turtle Soup' buy scenario, which you see taking place in the examples.